The Other 95%

A Closer Look at Planned Giving

Contributors:

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Of all the assets held in the US today, only five percent is in the form of cash. Truth to be told, however, how many of us think of donations in terms other than cash?

"We're so caught up in covering our immediate expenses," explains Rabbi Shuey Eliezrie, shliach to Tustin, California, "that we don't allow ourselves the luxury of looking at the bigger picture. We're busy chasing donations to cover our monthly budget and don't necessarily think about our finances in the long run."

The shortcoming in this approach really hit Eliezrie when he attended the AIPAC convention two years ago. "I saw people who, if anything, make small yearly donations to their local Chabad yet were committing significant percentages of their estate to AIPAC," he says. "Here you have an organization that has a real impact on their lives and a rabbi with whom they have a personal relationship, yet their biggest contribution to date is $10,000. These same people were promising enormous sums of money to an organization which, on a local level, is not intimately involved with their lives."

Eliezrie describes the sight he encountered upon entering the AIPAC convention: wall-to-wall posters advertising their planned giving program, flyers and brochures providing step-by-step instructions for donors, and professional estate planners offering expert advice. "They market themselves properly and make their message known. They make sure that every person walking through the door understands that they have big philanthropic goals and that they are providing people with opportunities to fill them. It's time that Chabad aims for a broader philanthropic reach," Eliezrie says.

What is Planned Giving?

Planned giving is when donors commit to make a payment at a later date, typically after they pass away. All major nonprofits—hospitals, universities, religious institutions, etc.—have planned giving programs, which account for a sizable percentage of their yearly fundraising campaigns.

Planned gifts have many advantages over regular donations, both for the donors and the beneficiaries. Firstly, they afford donors the opportunity to give far larger contributions than they would give regularly. People have limited cash resources during their lifetime and are often not in a position to make large donations. After they pass, however, they are able to apportion a significant percentage to a charitable organization. To put it simply, planned giving is the major gift of the middle class. Planned gifts provide income and capital tax breaks for donors as well, making them a favored choice for many philanthropists. Most importantly, planned gifts give people the opportunity to perpetuate their legacy. Their memory lives on in the community infrastructure that they have helped establish.

There are a variety of forms that planned gifts can take. They can be set up as a bequest, apportioning a percentage of a person's estate to an organization; as a charitable remainder trust, providing steady income payments to the donor throughout his or her lifetime; or as the transfer of a life insurance policy, where the total or partial payment upon death is donated to the organization.

Getting Past the Discomfort

"Every program Chabad runs seem strange at first," shares Rabbi Ari Drelich, shliach to Edmonton, Alberta. "But the more people see it, the more they accept it, until it's just another one of the things we do. It's the same with conversations about planned giving."

For over 20 years, Rabbi Drelich avoided broaching the topic with his constituents. "I was afraid of being offensive, as if I was looking forward to the person passing," he said. "It took a lot of convincing and support to get me started." Once he finally took the plunge, however, he found people to be surprisingly receptive. "I could have been asking them for the sports scores," he said of their facial expressions.

"The truth is," Drelich says, "that everyone is expecting the question. It's a fact of life: everyone eventually passes away. People do think about how they will divide their estate and there is no reason why their local Chabad, of which they have been active members throughout their lifetime, should not have a place in their will amongst their other commitments."

Securing a planned giving donation, according to Drelich, doesn't begin with a face-to-face conversation about the topic. "It's all about creating awareness," he says. "Advertise it in your calendar, print brochures about it, mention it in your fundraising appeal. The discomfort goes away after a while; it becomes just another one of the programs Chabad offers. When you do go ahead and have the conversation, it's something that people are already familiar with from beforehand."

Statistics support Drelich's approach. The NCPG reports that 67% of all planned gifts are not known to the organization until they are contacted by the will's executor. "By creating the infrastructure and planting the seeds, we give people the ability to make that decision without even being asked," Drelich says.

"We need to really change the way we think," Drelich states. "The Federation, UJA, and JNF each have entire offices dedicated to securing these donations. There is no reason why Chabad should be any different."

One piece of advice that Rabbi Drelich offers to shluchim is to maintain a hands-off approach. "Wait until a person is already familiar with the idea

When You Plow & Sow, Things Grow

הַשְׁגָּחָה הָעֶלְיוֹנָה בְּרֵיינגט יעֶדעֶן אִין זַיין וואוֹינאָרט צוּלִיבּ חִזּוּק הַיַּהֲדוּת וְהַרְבָּצַת הַתּוֹרָה. ווען מען אַקעֶרט און מען פאַרזֵייט — וואַקסט היום יום כ”ה חשון)).

Supernal Providence brings every Jew to his dwelling place in order to strengthen the practice of Yiddishkeit and disseminate the study of Torah. And when one plows and sows, things grow.

(Hayom Yom: Tackling Life's Tasks: *25 Cheshvan)*

After having been on shlichus for two-and-a-half years, a close friend of ours passed away. A short while later, we were informed that he had left 5% of his estate to our Chabad House.

How did this happen? With Hashem's help, the Rebbe's brochos, and the following simple story.

Beginning with the very first time I discussed our financial plan with potential donors, I made it my practice to mention that we had three parts to our long-term vision: an ongoing budget of $100,000, a capital building campaign of $2 million, and an endowment fund of $3 million. I began to plant seeds for the future and repeatedly emphasized that we are in this long-term and are already thinking about what Judaism in this city will look like in the years to come.

After listening to some of Rabbi Shuey Eliezrie's online workshops and discussing it with my brother, Rabbi Yacov Simmonds, I took the next step and added a Jewish legacy initiative to our financial plan. This provides people with yet another means through which to ensure the continuity of Yiddishkeit in Regina.

Over time, I got to know a certain local Jew by the name of David and he began joining our regular programming. If David couldn't make it to an event, I would visit him at home and help him perform the mitzvah of that season. Last Purim, I mentioned to David that we had begun a new Jewish legacy initiative. He listened but did not respond. A few months later, when asking him to consider upping his financial support, he remarked, "Don't worry Rabbi, I've included you in my will." He gave his regular modest contribution and I let the subject drop.

Time passed and I continued visiting. David's donations were still small and, collectively, did not even add up to $350. Thinking in the short-term, I was pretty disappointed.

And then it happened. I received the dreaded message that David was critically ill. He passed away a few days later and I took care of the burial arrangements in accordance with halacha.

At the funeral home, the executor of David's will showed me a copy of his estate plan. I then learned that he had included Chabad for 5% of his estate! This uplifted and inspired us, especially after having just lost a close friend such as he.

David's gift is by far our largest single donation to date. It was a huge eye-opener as to what people are capable of giving if they are only asked. Had I not had that single conversation, he probably would not have given us what now amounts to over $50,000.

Conversations about bequests and planned giving are so important to have. Firstly, they let people know that we have a vision and concrete plan of what we can accomplish with a solid budget. Secondly, they advertise the fact that we have a Jewish legacy initiative and that leaving a bequest will bear fruits long into the future. Lastly, after their passing, individuals are capable of giving many times more than what they can during their lifetime.

I'm sharing our story with the hope that it will encourage other shluchim to have this conversation with their constituents. A short few words can sometimes go a very long way.

Hatzlacha raba,
RABBI AVROHOM SIMMONDS
Regina, Saskatchewan

"After having been on shlichus for two-and-a-half years, a close friend of ours passed away. A short while later, we were informed that he had left 5% of his estate to our Chabad House."

from your calendar or brochure. Once they are aware of the program, the conversation will be a lot more comfortable." With time, Drelich senses, people become a lot more receptive to the idea. "The ball has been set into motion; major inroads have been made."

When Migrating Birds Relocate Their Nests

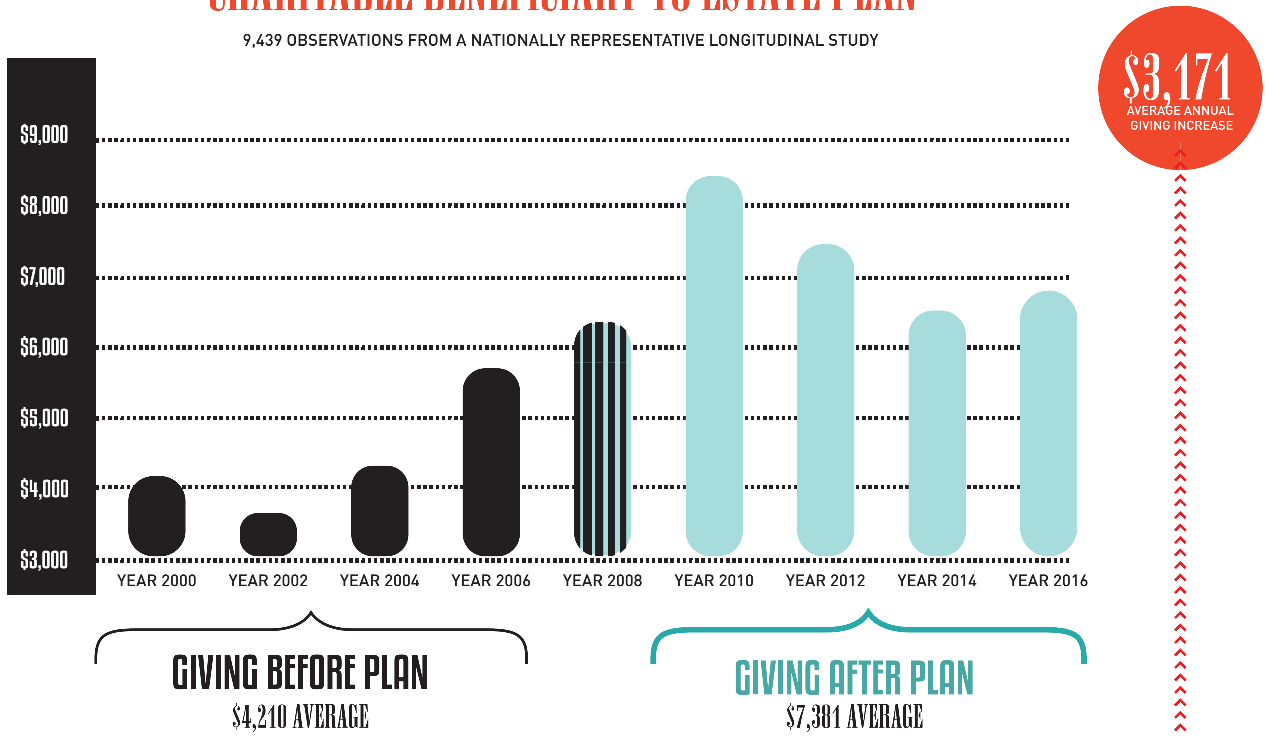
"A small town shliach is presented with a real challenge," Rabbi Nochum Mangel, shliach to Dayton, Ohio says. "As people get older, they leave for larger communities and we never hear from them again. I often rely on these people's yearly contributions, but as they move on their donations stop, as well."

Learning about planned giving has broadened the scope of Rabbi Mangel's fundraising horizons. "It made me think of different ways to ask people for money, different ways to secure long-term donations."

Rabbi Mangel devised a new approach: Before a family moves out of town he asks them to them to consider endowing their yearly contributions to Chabad. "I offer them the opportunity to become ongoing partners in our community's

GIVING BEFORE & AFTER ADDING CHARITABLE BENEFICIARY TO ESTATE PLAN

9,439 OBSERVATIONS FROM A NATIONALLY REPRESENTATIVE LONGITUDINAL STUDY



growth. They have benefited so much from our community and now they have the chance to give back in the long term."

Rabbi Mangel has been surprisingly successful with his new approach, and has secured large yearly commitments from former community members. "People are happy to commit," he says. "It's their way of remaining connected to the community they feel so strongly for."

The conversation is a sensitive one and can be uncomfortable at times, but Mangel says the Chabad Tomorrow office has helped him broach the subject with more comfort. "They've brought fundraising to the forefront and provided us with the tools to succeed," he says.

"Before learning about planned giving I would never have thought of such an approach to fundraising," he says. "I encourage shluchim to take advantage. People are expecting to be asked so get out there and do the asking!"

Create the Cause

Rabbi Avrohom Simmonds, shliach to Regina, Saskatchewan (see sidebar), believes a shliach must work on creating the cause for people to donate to. "If your yearly expenses are only $100,000, you can't expect someone to donate $50,000 and cover half your budget. If you have a $5 million fund aimed at securing the future of your Jewish community, you've created a void for people to fill. It doesn't matter how big your yearly budget is, they're investing in the future."

Establishing an endowment fund for a Chabad House, although it may seem foreign to many shluchim, would entirely shift the focus of their energies. "Imagine the financial security a shliach would have," Eliezrie envisions fancifully, "if he had a $5 million endowment fund providing him with returns of 5% a year. How much additional programming could we do, and how much more could we accomplish, if we started the year off with $250,000 sitting in the bank?"

Eliezrie estimates that shluchim can collectively raise over $3 billion in the next 20 years. "But it's not going to happen unless our mindset changes drastically. This is an area that shluchim must start tapping into."

STUDIES SHOW that donors tend to give larger annual donations after including an institution in their bequest. The planned gift has increased their incentive to see the institution's success during their lifetime.

Written by Rabbi Shaul Wolf